

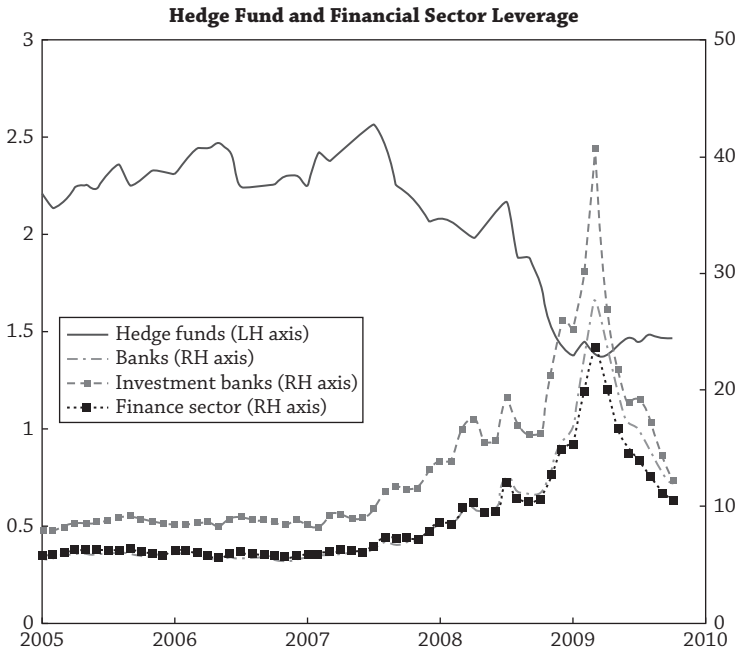


Figure 17.8

but subject to occasional terrible losses. Thus, using mean-variance optimizers to calculate allocations to HFs is dangerous—unless you are a special investor who cares only about means and variances (I’ve yet to meet any). If you care about occasional catastrophic losses, then you need asset allocation tools to handle strategies that “pick up nickels and dimes in front of a steamroller,” as chapter 2 describes.

4. Agency Issues

Since HFs do not fall under the 40-Act, they can employ nonlinear performance contracts that can mitigate agency problems and better align the interests of agents (the HF managers) with the principals (the asset owners).

4.1. CONTRACTS

HFs charge a *management fee*, also called an *expense ratio*. A typical fee is 2%, which is levied on the (unlevered) assets in the fund, which is the *net asset value* (NAV).

HFs also charge a *performance fee*, or an *incentive fee*. The performance fee, typically 20%, is calculated net of a benchmark. Popular benchmarks are a cash benchmark, like LIBOR, the S&P 500, or some general market index, or a constant like zero.